IOWN

The Morning Brief

APRIL 3, 2026

Blind Spot

Good Friday Edition. March payrolls arrive to closed markets as three catalysts converge on Monday's opening bell.

S&P 500 (THU CLOSE)	BRENT (THU CLOSE)	GOLD (THU CLOSE)	BITCOIN (LIVE)	FEAR & GREED
6,583 ↑3.4% on week	$109 ↑7.8% Thu	$4,622 ↓2.7%	~$67,000 ↓1.6%	12 · Extreme Fear

SECTION 01

Markets — Week in Review

THREE REVERSALS IN 96 HOURS

The shortened week delivered the conflict's widest emotional range. Tuesday's 2.91% S&P rally on Trump's exit signal was the most powerful of the war. Wednesday extended the gain as the S&P added 0.72%. Then Trump's Wednesday evening address—threatening extreme force for two to three more weeks—sent futures down sharply overnight. Thursday opened with the Dow down more than 600 points before Iranian state media reported that Tehran and Oman are drafting a protocol to monitor Strait of Hormuz transit. The report reversed the entire session: the S&P closed at 6,583, up 0.11% on the day and approximately 3.4% on the week, according to Bloomberg. The net result is that equity markets recovered the prior week's losses, but the path required absorbing three distinct narrative reversals.

S&P 500	6,583 · ↑3.4% on the week
CRUDE OIL	WTI $112 ↑11.4% / Brent $109 ↑7.8% Thu
GOLD	$4,622 · ↓2.7% Thu · Warsh + CPI nowcast
10Y YIELD	4.36% · Zero 2026 rate cuts priced
FEAR & GREED	12 · Extreme Fear

GOLD'S SHARPEST DECLINE OF THE CONFLICT REWRITES THE RATE NARRATIVE

Gold fell 2.7% on Thursday to $4,622, one of its sharpest single-session declines since the war began. The catalyst was twofold: the Senate Banking Committee officially scheduled Kevin Warsh's Fed Chair confirmation hearing for the week of April 13, and early April CPI nowcasts surged to 3.71%, up from 3.25% in March, driven by the energy shock. The combination eliminated any remaining market expectation for rate cuts in 2026. Higher nominal yields increase the opportunity cost of holding non-yielding bullion, and the stronger dollar compounds the pressure. IOWN's gold miners—GFI (+6.01% Wednesday) and AEM (+3.50%)—had been the portfolio's strongest performers during the conflict; the Warsh hearing introduces a changed rate environ-

ment that could persist through confirmation. Rate-sensitive holdings across the portfolio (NEE, BKH, ATO) face similar headwinds in a zero-cut world.

The week proved that the market can rally and sell off on the same information depending on the hour. What persists through the noise is the portfolio's construction—dividend cash flows that compound through the cycle, energy exposure that benefits from the disruption itself, and the discipline to distinguish between a headline and a thesis. Simplicity Over Complexity.

SECTION 02

Geopolitics

THE IRAN-OMAN HORMUZ PROTOCOL — THE WEEK'S MOST SIGNIFICANT DIPLOMATIC DEVELOPMENT

Iranian state media reported Thursday that Tehran and Oman are drafting a joint protocol to monitor transit through the Strait of Hormuz, according to IRNA. Deputy Foreign Minister Gharibabadi stated that vessels would coordinate with both coastal states to ensure safe passage, describing the framework as facilitating rather than restricting navigation. The announcement reversed Thursday's 600-point Dow decline within hours. If implemented, the protocol could represent the first concrete pathway to partial Hormuz reopening that does not require a ceasefire or a bilateral US-Iran agreement. For IOWN's energy holdings, the distinction matters: a negotiated monitoring regime may gradually reduce the shipping premium without the sudden unwinding that a ceasefire would produce, potentially allowing CVX, VLO, and OKE to adjust rather than absorb a one-day shock. Skeptics note, as Fortune reported, that Iran would effectively collect tolls on the waterway it blockaded—but markets appeared willing to accept that framework on Thursday.

UN SECURITY COUNCIL HORMUZ VOTE DELAYED — CHINA OPPOSES FORCE AUTHORIZATION

The UN Security Council postponed a scheduled Friday vote on a Bahrain-drafted resolution authorizing defensive force to protect Hormuz shipping, according to France 24 and Al-Monitor. The delay was attributed to the Good Friday holiday, but the political obstacles are substantive: China's ambassador stated that authorizing member states to use force would inevitably lead to further escalation. The draft would greenlight voluntary multinational naval partnerships to use all defensive means necessary to secure transit passage for at least six months. If the resolution passes next week, it provides a legal framework for naval escorts that could complement the Iran-Oman monitoring protocol. If it is vetoed by China or Russia, the US may pursue unilateral escort operations that would represent a significant escalation within the Strait itself. The vote's outcome adds another variable to Monday's already crowded catalyst window.

DAY 34 — THE GAP BETWEEN DIPLOMACY AND THE BATTLEFIELD CONTINUES TO WIDEN

The same day Iran drafted the Hormuz monitoring protocol, US and Israeli strikes hit the B1 bridge between Tehran and Karaj, according to Gulf News, killing eight and wounding 95 in two separate attacks—the second striking as emergency teams responded to the first. Kuwait's air defenses intercepted hostile missile and drone attacks, a reminder that the conflict's spillover into neighboring Gulf states continues. Approximately 150 freight ships, including oil tankers, remain stalled near the Strait. The diplomatic track and the military track are producing contradictory signals on the same day—and for the portfolio, that gap is the source of the volatility. Every diplomatic signal lifts risk assets; every military development reverses the gain. The construction must hold through both.

IRAN-OMAN PROTOCOL	**Monitoring framework for Hormuz transit · First concrete reopening path**
UN VOTE	**Delayed from Friday · China opposes force authorization**
BRIDGE STRIKE	**Tehran-Karaj B1 · 8 killed, 95 wounded · Second strike hit first responders**
KUWAIT	**Air defenses intercepted hostile fire · Continued GCC spillover**
DAY OF CONFLICT	**Day 35 · No ceasefire framework · 150 ships stalled near Hormuz**

SECTION 03

On Our Radar

1. March nonfarm payrolls arrive at 8:30 AM ET this morning to closed markets. Consensus is approximately 60,000, partially rebounding from February's 92,000 contraction, with the Kaiser Permanente nurse strike resolution expected to boost healthcare payrolls. Whatever the number reveals, the market's reaction is entirely deferred to Monday. A significant miss could shift the rate conversation toward accommodation despite elevated inflation; a strong beat would remove the remaining case entirely. IOWN's dividend sleeve—ADP, FAST, SYK—tends to hold up well through labor market uncertainty given the cash-generative nature of these businesses. Think Like an Owner.

2. Monday converges three catalysts on a single opening bell. The deferred NFP reaction, Trump's April 6 energy strike deadline (if not superseded by diplomatic progress over the weekend), and the rescheduled UN Security Council Hormuz vote all arrive within the same 24-hour window. The portfolio enters a three-day gap with no ability to adjust positioning. This is the structural risk the prior briefs identified—and it has not diminished. Avoid Erosion.

3. Warsh confirmation hearing, now set for the week of April 13, reshapes the rate landscape. The Senate Banking Committee's scheduling contributed to Thursday's gold selloff and the repricing of rate expectations to zero cuts for 2026. Warsh is perceived as hawkish on inflation and aligned with dollar strength. If confirmed, the Fed's reaction function to the war-driven energy shock could shift materially toward price stability over employment support—a framework that may pressure rate-sensitive names but could benefit dollar-linked positions. Research Reveals Opportunities.

4. Week Ahead. ISM Services arrives Monday alongside the payrolls reaction. Several IOWN-adjacent earnings reports approach: GPC reports April 21, TE Connectivity April 22, Stryker in late April. First-quarter earnings season begins in earnest mid-month. On quieter days, fundamentals tend to reassert themselves over geopolitical noise. **The physical world matters.**

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